



**QUIDEL FIRST QUARTER 2020
CONFERENCE CALL SCRIPT
Wednesday, May 6, 2020
2:00 p.m. PT/ 5:00 p.m. ET**

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation First Quarter 2020 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and chief executive officer, Doug Bryant, and Randy Steward, our Chief Financial Officer.

Our first quarter 2020 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on May 6th, for a period of 24 hours.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. It is possible that actual results and performance could differ significantly from these stated expectations. For a discussion of risk factors, please review Quidel's annual report on Form 10-K, registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, May 6, 2020. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three months ended March 31, 2020. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Ruben, and good afternoon everyone. First quarter 2020 feels like a really long time ago. We had a good quarter — in terms of product development, manufacturing, and financial performance. I will be unusually brief though, as I know there will be several questions with respect to what we are doing with our SARS-2 coronavirus assays.

Total revenue for Q1 was roughly \$175 million, driven by \$80 million in influenza testing revenue, which demonstrated the strength of our Sofia franchise and shows what leveraging 43,000 analyzers looks like.

Favorability in respiratory disease testing was offset by a decline at the end of the quarter in patient demand for our Cardiometabolic products.

In terms of product development, first, the Savanna team made significant progress, which gives me a great deal of confidence as we exit this year that we'll have a highly competitive sample-to-answer molecular platform, one that will likely begin to take significant market share in 2021. I predict that Savanna will become, within a two to three year window, our next flagship product, perhaps equal to our Sofia franchise in importance.

Second, the Triage hs-Troponin team prepared and submitted our pre-submission package to the FDA in advance of the dialogue we will have with them shortly in preparation for the U.S. clinical trial later this year.

And finally, while several other assay programs remained on track, we began the development of three COVID-19 product offerings, the Lyra reverse transcriptase PCR for high volume, high complexity labs, the Sofia SARS Antigen assay, and the Sofia serology assay.

On March 17th, we received Emergency Use Authorization from the FDA for Lyra SARS-CoV-2 and began immediately solidifying our supply chain and ramping up manufacturing. Before the end of the quarter, we were able to manufacture a modest volume of PCR kits, all of which were sold. The Sofia assays are now in the final stages of development. We suggested a summer launch for both assays and are running slightly ahead of that timetable.

In terms of manufacturing in the quarter, our operations group demonstrated the strength of our supply chain and production teams, generating record levels of output when others in our industry were struggling to keep up with demand. The proven scalability of our Sofia cartridge manufacturing lines during this recent influenza epidemic portends well for our ability to meaningfully contribute to improving U.S. public health during the COVID-19 epidemic.

Randy?

RANDY STEWARD

First Quarter Financial Results

Thank you, Doug. Good afternoon everyone. As we reported earlier today, total revenues for the first quarter of 2020 were \$174.7 million dollars, as compared to \$148.0 million dollars in the first quarter of 2019. The 18% increase in revenue was driven mostly by growth in flu and other respiratory products. In the first quarter of 2020, Rapid Immunoassay grew 54% over the first quarter of the prior year, while Molecular Diagnostics Solutions grew 45%, and Specialized Diagnostic Solutions grew 19%. Foreign currency impact was minimal, at \$0.5 million dollars in the quarter.

For the Cardiometabolic Immunoassay business, revenue was \$53.9 million dollars, an 18% decrease in the first quarter of 2020, or a 17% decrease in constant currency. Of the \$53.9 million dollars in Cardiometabolic revenue, \$28.5 million dollars were derived from the Triage business, and \$25.5 million dollars from the Beckman BNP business. In the first quarter, we saw an atypical decline in all the major geographies, as patients with chest pain either would not or could not visit traditional testing centers as a result of the coronavirus pandemic. We believe this first quarter trend will continue for the next couple quarters.

Rapid Immunoassay product revenues increased 54% to \$95.9 million dollars in the first quarter of 2020 as compared to \$62.5 million dollars in

the previous year. Within this category, Sofia products grew 52 percent from the first quarter of 2019 to \$65.2 million dollars, while QuickVue product revenues increased 61% to \$29.5 million dollars, both driven by Influenza.

Total Influenza revenue, which includes Rapid Immunoassay, DHI Respiratory and Molecular Diagnostics, grew 69% in the quarter to \$79.6 million dollars. The Influenza Rapid Immunoassay revenue was \$73.8 million dollars, with approximately 76% of the revenue derived from the Sofia platform. Rapid Immunoassay revenue for Strep grew 22% from the first quarter of 2019, and RSV revenue grew 17%.

Revenue in the Specialized Diagnostic Solutions category increased 19% in the first quarter to \$16.5 million dollars, driven by a 36% increase in DHI respiratory revenue and 44% growth in our General Virology segment.

Our Molecular Diagnostic Solutions category increased 45 percent in the quarter to \$8.4 million dollars due to 41% revenue growth in Solana. This growth was primarily driven by the respiratory season, as Influenza revenue grew 120%, and Strep A grew 24%. Adding to the overall molecular growth, the Lyra product category grew to \$1.7 million dollars in the quarter, driven by \$1.0 million dollars in sales of our Lyra SARS-CoV-2 product, which was granted EUA by the FDA on March 17th.

Gross Profit in the first quarter of 2020 increased \$24.1 million dollars to \$115.0 million dollars, primarily driven by higher sales volumes,

favorable product and geographic mix, and higher manufacturing overhead absorption. Gross profit margin in the first quarter of 2020 improved to 65.8%.

R&D expense increased by \$2.4 million dollars in the first quarter of 2020 as compared to the same period in 2019. This increase is due to higher employee-related costs, increased spending on clinical trials, development of COVID-19 assays, and next-generation platform development projects.

Sales and Marketing expense in the first quarter of 2020 increased by \$1.1 million dollars as compared to the same period last year, due to higher employee-related costs driven by increased revenue in the quarter.

G&A expense increased by \$0.9 million dollars in the quarter, primarily due to greater employee-related costs driven by improved financial performance in the quarter.

As it relates to the provision for income taxes, we recorded \$8.6 million in income tax provision in the quarter, and the effective tax rate was 17.6%. From the statutory tax rate of 21%, the effective tax rate benefited from foreign derived intangible income, R&D tax credits, and stock-based compensation, somewhat offset by state taxes and one-time discrete items.

As of the end of March, we had \$108.8 million in cash and cash equivalents. In April, we made the third annual Abbott payment and now have \$136.0 million dollar balance remaining on the deferred and contingent consideration to be paid over the next 3 years. We have no outstanding balance on our \$175 million-dollar Revolving Credit Facility, and only \$13 million remaining in Convertible Bond Debt, maturing this December. In short, we have minimal debt, access to credit, and good cash flow, which places us in a good position to support our future initiatives.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had a strong start to the year, and we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.